

		And lastly, Judgment #4, attached as Exhibit D, states that Defendant shall pay RMB 7,823,594.95 and penalty interest of RMB 4,000,000. Plaintiffs offer no calculations to explain the differences between the numbers in the foreign judgments attached to the Complaint and those set forth in their supporting declaration. Based on all the above, the Court finds that Plaintiffs have failed to carry their initial burden. Therefore, the Application is DENIED. Plaintiffs to give notice.
115	Beasley v. Soheil 2024-01411587	MOTION TO BE RELIEVED AS COUNSEL OF RECORD - GRANTED Samuel Ogbogu (“Moving Attorney”) moves to be relieved as counsel of record for plaintiff Yoshira Beasley. The motion is unopposed and Moving Attorney has stated a basis for permissive withdrawal under the Rules of Professional Conduct, Rule 1.16. All other requirements are satisfied. Thus, the motion is GRANTED. The moving attorney is directed to submit a proposed order (form MC-053) for the court’s signature. The order relieving counsel will be effective upon counsel filing proof of service of a copy of the signed order on the client and on all parties that have appeared in the case. (California Rules of Court, Rule 3.1362(e).) Moving Attorney to give notice.
116	Robicheaux v Rowshan 2022-01261647	MOTION FOR SUMMARY ADJUDICATION - DENIED Plaintiff/Cross-Defendant Grant Robicheaux moves for summary adjudication as to the first cause of action for fraud brought by Cross-Complainants Dr. Kasra Rowshan and Newport Care, second cause of action for negligent misrepresentation brought by Rowshan and Newport Care, fifth cause of action for breach of fiduciary duty brought by Rowshan and Newport Care, and sixth cause of action for breach of fiduciary duty brought by Rowshan and Top Surgical, as asserted in the second amended cross-complaint.

		Defendants/Cross-Complainants Kasra Rowshan, Newport Care Medical Group, Inc., Newport Care MSO, LLC, Linden Properties, LLC, Old Newport Group, LLC, and Top Surgical, LLC (collectively Rowshan) oppose the motion. I. INITIAL MATTERS Before addressing whether there are triable issues of material facts for the issues presented, the Court will address some preliminary matters. First, the Court notes that Robicheaux’s operative answer is now the first amended answer to second amended cross-complaint. (ROA 1039.) Even so, the Court notes that, absent a showing for prejudice and upon adequate notice and opportunity to respond, affirmative defenses may be asserted for the first time in a motion for summary adjudication without amending the answer. (<i>Atkins v. St. Cecilia Catholic School</i> (2023) 90 Cal.App.5th 1328, 1341.) Second, both parties’ requests for judicial notice are GRANTED. Rowshan’s requests for judicial notice in opposition to the motion for summary adjudication are GRANTED. These documents are judicially noticeable pursuant to Evidence Code section 452 as “records of any court of this state.” Robicheaux’s requests for judicial notice in support of the motion for summary adjudication are GRANTED. These documents are judicially noticeable pursuant to Evidence Code section 452 as “records of any court of this state.” Third, Rowshan contends that the Court impliedly barred any additional motions for summary judgment. The Court did not impliedly bar motions for summary judgment when it ordered discovery closed. In <i>re Marriage of Binette</i> (2018) 24 Cal.App.5th 1119, 1130-1131, cited by Rowshan, simply stands for the proposition that the Court and the parties have the power to agree to procedural limitations and deadlines.
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		II. MERITS OF THE MOTION FOR SUMMARY ADJUDICATION Robicheaux moves for summary adjudication as to the first cause of action for fraud brought by Rowshan and Newport Care, second cause of action for negligent misrepresentation brought by Rowshan and Newport Care, fifth cause of action for breach of fiduciary duty brought by Rowshan and Newport Care, and sixth cause of action for breach of fiduciary duty brought by Rowshan and Top Surgical, as asserted in the second amended cross-complaint. Rowshan opposes the motion. The motion for summary adjudication presents five issues. Issue 1: There is no dispute of fact and as a matter of law, Cross-Complainants KASRA ROWSHAN, M.D. and NEWPORT CARE MEDICAL GROUP, INC. expressly waived and voluntarily relinquished (i.e., released) the claim of fraud as asserted in the first cause of action by executing and voluntarily agreeing to the mutual release language found in the Repurchase Agreement attached to Cross-Complainants' Second Amended Cross-Complaint as Exhibit B, ¶ 4.2. Issue 2: There is no dispute of fact and as a matter of law, Cross-Complainants KASRA ROWSHAN, M.D. and NEWPORT CARE MEDICAL GROUP, INC. expressly waived and voluntarily relinquished (i.e., released) the claim of negligent misrepresentation as asserted in the second cause of action by executing and voluntarily agreeing to the mutual release language found in the Repurchase Agreement attached to Cross-Complainants' Second Amended Cross-Complaint as Exhibit B, ¶ 4.2. Issue 3: There is no dispute of fact and as a matter of law, Cross-Complainants KASRA ROWSHAN, M.D. and NEWPORT CARE MEDICAL GROUP, INC. expressly waived and voluntarily relinquished (i.e., released) the claim of breach of fiduciary duty as asserted in the fifth cause of action by executing and voluntarily agreeing to the mutual release language found in the Repurchase Agreement attached to
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		Cross-Complainants' Second Amended Cross-Complaint as Exhibit B, ¶ 4.2. Issue 4: There is no dispute of fact and as a matter of law, Cross-Complainant KASRA ROWSHAN, M.D. cannot state a cause of action for breach of fiduciary duty as asserted in the fifth cause of action, because as a matter of law, the action is derivative and Cross-Complainant KASRA ROWSHAN, M.D. has no standing to assert this cause of action. Issue 5: There is no dispute of fact and as a matter of law, Cross-Complainant KASRA ROWSHAN, M.D. cannot state a cause of action for breach of fiduciary duty as asserted in the sixth cause of action, because as a matter of law, the action is derivative and Cross-Complainant KASRA ROWSHAN, M.D. has no standing to assert this cause of action As evident from the issues presented, this motion turns on two questions: (1) did Rowshan waive the right to bring the causes of action for fraud, negligent misrepresentation, and breach of fiduciary duty [issues 1, 2, and 3 as presented in the separate statement] and (2) does Rowshan have standing to assert the fifth and sixth causes of action for breach of fiduciary duty [issues 4 and 5 as presented in the separate statement]? 1. Did Rowshan waive the right to bring the causes of action for fraud, negligent misrepresentation, and breach of fiduciary duty? First, the Court must determine whether Rowshan and Newport Care waived their causes of action for fraud, negligent misrepresentation, and/or breach of fiduciary duty pursuant to the release contained in the Repurchase Agreement. The affirmative defense at issue is waiver. "Case law is clear that [w]aiver is the intentional relinquishment of a known right after knowledge of the facts." (Waller v. Truck Ins. Exchange, Inc. (1995) 11 Cal.4th 1, 31.) Waiver "depends upon the intention of one party only" and does not require any act or conduct by the other party." (Old Republic Ins. Co. v. FSR Brokerage, Inc. (2000) 80 Cal.App.4th
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		666, 678.) “Thus, [t]he pivotal issue in a claim of waiver is the intention of the party who allegedly relinquished the known legal right.” (Ibid.) “The burden ... is on the party claiming a waiver of a right to prove it by clear and convincing evidence that does not leave the matter to speculation, and doubtful cases will be decided against a waiver.” (Waller v. Truck Ins. Exchange, Inc. (1995) 11 Cal.4th 1, 31.) “Whether there has been a waiver is usually regarded as a question of fact to be determined by the jury, or by the trial court if there is no jury.” (Old Republic Ins. Co. v. FSR Brokerage, Inc. (2000) 80 Cal.App.4th 666, 679.) Under the Repurchase Agreement, Cross-Defendant/Plaintiff Grant Robicheaux, MD is the “Seller,” Newport Care Medical Group, Inc. is the “Company,” and Kasra Rowshan, M.D. is referred to “Dr. Kasra Rowshan, MD.” The Repurchase Agreement contains the following section regarding release under Article 4 of the Agreement: “4.1 In consideration of the terms and conditions of this Agreement, Seller, on his own behalf and on behalf of his past, present and future affiliates, heirs, spouses, trustees, beneficiaries, executors, representatives, successors, assigns, agents and attorneys claiming by or through Seller (the "Seller Releasing Parties"), shall and does hereby and forever fully, finally and forever generally remise, release, waive and discharge the Company and each of its current or former officers, directors, shareholders, members, managers, investors, partners, employees, servants, agents, representatives, attorneys, partnerships, trustees, predecessors, successors, assigns, affiliates, insurers, parent corporations, and/or subsidiaries, and/or any other entity or company or partnership operated, affiliated with, controlled by, or under common control with any one of the foregoing (the "Company Released Parties"), from any and all known or unknown, suspected or unsuspected, whether or not
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		concealed or hidden, claims, rights, omissions, debts, liabilities, obligations, sums of money, accounts, covenants, contracts, controversies, agreements, promises, damages, fees, expenses, judgments, executions, indemnification rights, demands, actions and causes of action, at law or in equity which any Seller Releasing Party ever had or held, now has or holds, or hereafter can, shall, or may have or hold against the Company and the Company Released Parties, or any one of them, based on, arising out of, relating to or in any way connected with any occurrences, transactions, events, acts, or omissions of any kind whatsoever that relate to Company from the beginning of time through the Effective Date except for medical malpractice claims or regulatory billing or compliance claims not covered by insurance or other claims that cannot be released as a matter of law. Notwithstanding anything to the contrary in this Agreement, none of the releases under this Agreement shall impact any of the Parties rights or obligations under that certain Letter of Intent, dated as of the date hereof, by and among the Parties hereto or any other business entities that Seller and Kasra Rowshan, MD co-own.” “4.2 In consideration of the terms and conditions of this Agreement, the Company, the Company Released Parties and any person who may claim through such persons or entities (collectively, the "Company Releasing Parties") shall and does hereby and forever fully, finally and forever generally remise, release, waive and discharge Seller and the Seller Releasing Parties, and each of them, from any and all known or unknown, suspected or unsuspected, whether or not concealed or hidden, claims, rights, omissions, debts, liabilities, obligations, sums of money, accounts, covenants, contracts, controversies, agreements, promises, damages, fees, expenses, judgments, executions, indemnification rights, demands, actions and causes of action, at law or in equity, which any Company Releasing Parties ever had or held, now has or holds, or hereafter can, shall, or may have or hold against Seller and the Seller Releasing Parties, or any one of them, based on, arising out of, relating to or in any
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		way connected with any occurrences, transactions, events, acts, or omissions of any kind whatsoever that relate to Company from the beginning of time through the Effective Date, except for medical malpractice claims or regulatory billing or compliance claims not covered by insurance or other claims that cannot be released as a matter of law.” (Emphasis added.) “4.7 Notwithstanding anything to the contrary set forth in this Agreement, the Parties acknowledge and agree that the releases set forth in this ARTICLE 4 do not extend to, include or restrict or limit in any way, and each of the Seller Releasing Parties and the Company Releasing Parties hereby reserves such Party's rights, if any, and the right of the other Parties, if any, to pursue any and all claims that such Party may now or in the future have solely on account of (a) rights of such Party, if any, under this Agreement, (b) medical malpractice claims not covered by insurance, (c) obligations under this Agreement, and (d) and any claim which, as a matter of applicable law, cannot be released.” The Repurchase Agreement also contains the following section regarding a mutual waiver: “6.6 Mutual Waiver. To the extent the terms and conditions of the Company’s purchase of the Shares hereunder are inconsistent with the terms and conditions of any agreement between the Company and Seller, the Parties hereby waive any rights they may have under those inconsistent provisions of such agreement.” Importantly, the Effective Date of the Repurchase Agreement is 02/01/2021. Consistent with the Court’s previous order on Cross-Complainants/Defendants MSJ, whether the allegations in the Cross-Complaint relate to the letter of intent such that they are excluded from the Release Agreement is a triable issue of fact. (See ROA 685.) This conclusion is based on the section of the release that states that “Notwithstanding anything to the contrary in this Agreement, none of the releases under this Agreement shall impact any
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		of the Parties rights or obligations under that certain Letter of intent, dated as of the date hereof, by and among the Parties hereto or any other business entities that Seller and Kasra Rowshan, MD co-own.” Moreover, many of the wrongful acts alleged in the Cross-Complaint occurred after the Release Agreement was signed. Thus, even if the Court were to conclude (which it does not) that the Release Agreement barred recovery for conduct that occurred before 02/01/2021, the operative Cross-Complaint alleges grounds for these causes of action for instances that occurred after 02/01/2021. (See e.g., Second Amended Cross-Complaint, ¶¶ 110-117.) The release expressly states that only the recovery for the wrongful conduct “arising out of, relating to or in any way connected with any occurrences, transactions, events, acts, or omissions of any kind whatsoever that relate to Company from the beginning of time through the Effective Date” is waived. Likewise, whether Cross-Defendant breached the “covenant not to sue” section of the Repurchase Agreement and the impact of Cross-Defendant’s initiated this lawsuit is also a triable issue that prevents summary judgment. The “covenant not to sue” section is as follows: “4.5 A "covenant not to sue" is a legal term that means the Parties promise not to file or initiate a lawsuit in court or other legal proceeding. It is different from the Complete and General Release of claims contained in the other sections of this ARTICLE 4, above. Besides waiving and releasing the claims covered by this ARTICLE 4, above, the Parties represent and warrant that he, she, it, and they have not filed, and agree that he, she, it, and they will not file, or cause to be filed, any judicial complaint or lawsuit involving any claims he, it, and they have released in this ARTICLE 4, and the Parties agree to withdraw any judicial complaints, lawsuit, arbitration or administrative actions he, she, it, and/or they have filed, or that were filed on their behalf, prior to the Effective Date of this Agreement. The Parties agree and acknowledge that, if a Party sues the other Party or any other Released Parties in
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		violation of this Agreement, then that Party shall pay all legal expenses, including reasonable attorneys' fees and costs, incurred by any Released Party in defending against such suit or action. Notwithstanding this covenant not to sue, the Parties may bring a claim to enforce this Agreement. Each Party further agrees that it shall not, nor shall any affiliate of such Party (a) institute a lawsuit or other legal, administrative or other proceeding based upon, arising out of, or relating to any of the released claims; (b) participate, assist, or cooperate in any such proceeding; or (c) encourage, assist and/or solicit any third party to institute any such proceeding.” Last, the Repurchase Agreement is also ambiguous as to whether the Release applies to claims that Dr. Rowshan, as an individual, holds against Dr. Robicheaux rather than as an officer or agent of the Company. Given the above, the motion for summary judgment as to the first cause of action for fraud, second cause of action for negligent misrepresentation, and third cause of action breach of fiduciary duty based on the argument that the Repurchase Agreement waived Cross-Complainants right to hold Cross-Defendant liable or releases Cross-Defendant from liability for these causes of action is DENIED. 2. Does Rowshan have Standing to assert the fifth and sixth causes of action for breach of fiduciary duty? “[I]t is settled that one who has suffered injury both as an individual owner of a corporate entity and in an individual capacity is entitled to pursue remedies in both capacities.” [Citation.] The line between personal and derivative claims is drawn according to the injury inflicted: “The claims are derivative where the injury alleged is one inflicted on the corporate entity or on the ‘whole body of its stock.’ [Citation.] A personal claim, in contrast, asserts a right against the corporation which the shareholder possesses as an individual apart from the corporate entity: ‘If the injury is not incidental to an injury to the corporation, an individual cause of action exists.’ ”
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		[Citation.] “In determining whether an individual action as opposed to a derivative action lies, a court looks at ‘the gravamen of the wrong alleged in the pleadings.’” [Citation.] (Holistic Supplements, L.L.C. v. Stark (2021) 61 Cal.App.5th 530, 542.) Cross-Defendant cites to Schrage v. Schrage (2021) 69 Cal.App.5th 126, which states: “[W]here conduct, including mismanagement by corporate officers, causes damage to the corporation, it is the entity that must bring suit; the individual shareholder may not bring an action for indirect personal losses (i.e., decrease in stock value) sustained as a result of the overall harm to the entity.” (Bader v. Anderson, supra, 179 Cal.App.4th at p. 788, 101 Cal.Rptr.3d 821; see Heshejin v. Rostami (2020) 54 Cal.App.5th 984, 994, fn. 10, 268 Cal.Rptr.3d 836 [“ ‘a shareholder cannot bring a direct action for damages against management on the theory their alleged wrongdoing decreased the value of his or her stock (e.g., by reducing corporate assets and net worth)’ ”]; instead, the “ ‘corporation itself must bring such an action, or a derivative suit may be brought on the corporation's behalf’ ”]; Oakland Raiders v. National Football League (2005) 131 Cal.App.4th 621, 651, 32 Cal.Rptr.3d 266 [plaintiff's breach of fiduciary duty claim for corporate mismanagement and diverting corporate assets was derivative]; PacLink Communications Internat., Inc. v. Superior Court (2001) 90 Cal.App.4th 958, 964, 109 Cal.Rptr.2d 436 [minority members' fraudulent transfer claim was derivative where the “injury was essentially a diminution in the value of their membership interest in the [limited liability company] occasioned by the loss of the company's assets”]; Nelson, supra, 72 Cal.App.4th at pp. 125-126, 84 Cal.Rptr.2d 753 [minority shareholder's breach of fiduciary duty claim alleging the other shareholder of the corporation negligently managed the business was derivative]; Marsh et al., Marsh's Cal. Corporation Law (2021 supp.) Derivative Action, § 15.11[A][1] [“The clearest cases [of derivative actions] are those involving situations where the alleged wrongful actions of the defendants
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		have reduced the corporate assets and net worth.”.)” (Id., 153.) “The stockholder’s individual suit, on the other hand, is a suit to enforce a right against the corporation which the stockholder possesses as an individual.” (Schrage v. Schrage (2021) 69 Cal.App.5th 126, 150.) “For example, ‘[i]f the injury is one to the plaintiff as a stockholder and to him individually, and not to the corporation, as where the action is based on a contract to which he is a party, or on a right belonging severally to him, or on a fraud affecting him directly, it is an individual action.’” (Ibid.) “The individual wrong necessary to support a suit by a shareholder need not be unique to that plaintiff.” (Ibid.) “The same injury may affect a substantial number of shareholders.” (Ibid.) “If the injury is not incidental to an injury to the corporation, an individual cause of action exists.” (Ibid.) “[A] derivative suit is one in which the shareholder seeks redress of the wrong to the corporation.” (Bader v. Anderson (2009) 179 Cal.App.4th 775, 793.) “Thus, an action ‘is derivative, i.e., in the corporate right, if the gravamen of the complaint is injury to the corporation, or to the whole body of its stock and property without any severance or distribution among individual holders, or it seeks to recover assets for the corporation or to prevent the dissipation of its assets.’” (Bader v. Anderson (2009) 179 Cal.App.4th 775, 793 [citing Jones v. H.F. Ahmanson & Co. (1969) 1 Cal.3d 93, 106].) “On the other hand, a direct or individual suit by a stockholder ‘is a suit to enforce a [] right against the corporation which the stockholder possesses as an individual.’” (Bader v. Anderson (2009) 179 Cal.App.4th 775, 793 [citing Jones v. H.F. Ahmanson & Co. (1969) 1 Cal.3d 93, 107].) “For example, ‘[i]f the injury is one to the plaintiff as a stockholder and to him individually, and not to the corporation, as where the action is based on a contract to which he is a party, or on a right belonging severally to him, or on a fraud affecting him directly, it is an individual action.’” (Schrage v. Schrage (2021) 69 Cal.App.5th 126, 150, reh'g denied
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		(Oct. 15, 2021), review denied (Jan. 5, 2022).) “The individual wrong necessary to support a suit by a shareholder need not be unique to that plaintiff.” (Ibid.) “The same injury may affect a substantial number of shareholders.” (Ibid.) “If the injury is not incidental to an injury to the corporation, an individual cause of action exists.” (Ibid.) “A direct (as opposed to a derivative) action is maintainable ‘only if the damages [are] not incidental to an injury to the corporation.’” (Bader v. Anderson (2009) 179 Cal.App.4th 775, 793 [citing Nelson v. Anderson, supra, 72 Cal.App.4th at p. 124].) “And the two actions are mutually exclusive: i.e., the right of action and recovery belongs to either the shareholders (direct action) or to the corporation (derivative action).” (Id., citations omitted.) “An individual cause of action exists only if damages to the shareholders were not incidental to damages to the corporation.” (Schuster v. Gardner (2005) 127 Cal.App.4th 305, 313.) “Examples of direct shareholder actions include suits brought to compel the declaration of a dividend, or the payment of lawfully declared or mandatory dividends, or to enjoin a threatened ultra vires act or enforce shareholder voting rights.” (Ibid.) Regarding the fifth cause of action for breach of fiduciary duty, the Court finds that paragraph 153 contains a number of breaches that, as alleged, appear to injury Dr. Rowshan as an individual and are not incidental to the injury to Newport Care. For example, a jury could find the impact of Dr. Robicheaux allegedly “[k]nowingly possessing and/or using illicit substances such as cocaine, methamphetamine, and GHB, thereby bringing Dr. Rowshan and Newport Care indirectly into disrepute” injures Dr. Rowshan as an individual. Likewise, the allegation that Dr. Robicheaux “[f]ailed to pay Dr. Rowshan approximately \$75,000 for his half of shares in Newport Beach Surgery Center” appears (on the face of the Cross-Complaint) to be an agreement between Dr. Rowshan and Dr. Robicheaux wherein Dr. Robicheaux agreed to pay Dr. Rowshan approximately \$75,000 for his half of shares in
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		Newport Beach Surgery Center – as alleged, such money appears to be owed to Dr. Rowshan, not Newport Care. The sixth cause of action alleges similar misconduct in relation to a breach of fiduciary duty. For example, paragraph 159 alleges that Dr. Robicheaux breached his fiduciary duty to Dr. Rowshan by “knowingly possessing and/or using illicit substances such as cocaine, methamphetamine and GHB.” As such, the Court finds that Dr. Rowshan has standing to assert these causes of action against Dr. Robicheaux. Whether these instances occurred and whether these instances constitute a breach of a fiduciary duty are not at issue in this motion. The Motion is DENIED as to the standing argument. In sum, the Motion for Summary adjudication is DENIED in its entirety. Cross-Complainants to give notice.
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